
**DEPARTMENT
POLICY****Family Independence Program (FIP) and Food Assistance
Program (FAP)**

The Michigan Department of Health and Human Services (MDHHS) is subject to audits and reviews of its performance. Some of these are internal and some are by external agencies. This item identifies some of these review processes and defines the responsibilities of clients, local offices, central office and the corresponding federal agencies in these processes.

TYPES OF AUDITS

Although many areas of the department are audited, this item addresses audits/reviews regarding financial and work participation. The following audits (referred to as reviews) are used to monitor MDHHS performance in these areas:

- Compliance Division Food Assistance Program (FAP) reviews.
- Compliance Division Family Independence Program (FIP)/Temporary Assistance to Needy Families (TANF) work participation reviews.
- State Management Evaluation Reviews (SME).
- Food Assistance Management Evaluations (FAME).

These audits are described in detail in this item. Included are the scope and purpose of each audit, frequency of review, the review process and how the findings are used.

**COMPLIANCE
DIVISION REVIEWS****FIP and FAP****FAP Quality
Control Reviews****FAP Only**

Per federal regulations, every state is responsible for conducting FAP Quality Control (QC) reviews.

Scope and Purpose

The purpose of the active case review is to determine if households are eligible and receiving the correct monthly FAP allotment amounts. The purpose of the negative case review is to determine if the decisions and/or procedural processes to deny, suspend, or terminate cases is correct. QC review findings of active cases determine the incidence and dollar amounts of errors. The current (10/2024 for Fiscal Year 25) active case error threshold is \$57. The objectives of QC reviews are to provide:

- A systematic method of measuring the validity of the eligibility determinations made by the FIS/ES.
- A basis for determining error rates.
- A timely, continuous flow of information on which to base corrective action at all levels of administration.
- The basis for establishing State agency eligibility for bonus awards or State agency liability for excessive error rates.

Frequency of Reviews and Selection of Cases for Review

Each month a statewide random sample of households is selected from two different categories: active cases and negative cases (households that were denied benefits or whose benefits were terminated (or temporarily suspended)).

Request for Case Records

When a case is selected for review, the QC reviewer will contact the local office designee, if necessary to:

- Obtain obsolete paper files.
- If necessary, assist the reviewer in locating the recipient or enlisting the cooperation of recipients who are not responding to the reviewer's letters or required in-person interviews.

For FAP active cases, reviews that must be dropped because of recipient "non-cooperation/unable to locate" contribute a substantial increase in the FAP error rate.

Federal Food Assistance Program reviewers assume these dropped cases are error cases more than the same number of

reviewed cases. Thus, cases that are completed even with an error may have less of an impact on the error rate than a dropped review. Therefore, local office help to avoid dropping a review is crucial to the state's overall error rate.

DHS-1599, Review Results Findings Summary, Overview

Upon completing the review, the Compliance Division (CD) will electronically provide a DHS-1599, Review Results Findings, summary to the local office with copies to business service center and central office staff. The findings/summary includes:

- Detailed case information indicating that the case is correct or in error.
- Information for local office follow-up when the information is not pertinent to the sample month.
- Report of a dropped review.
- In cases of recipient non-cooperation, a request for case closure and the period of ineligibility; see [Bridges Administrative Manual \(BEM\) 105, Rights and Responsibilities](#).

The reviewer may write an "Addendum" that is a subsequent review results finding informing the local office that the results of the review have changed. Changes are reported as a result of new collateral information received by the reviewer or, a federal second party review by the US Department of Agriculture, Food and Nutrition Service.

Error Prevention Review Process

After the Compliance Division has transmitted its review results to FNS, the error case will be reviewed by the Payment Accuracy Manager and the Error Prevention Strategy Committee (EPSC). A quarterly teleconference meeting is facilitated by the Payment Accuracy Manager. This meeting will include various mandatory participants as determined by the Economic Stability Administration (ESA).

The goals of the EPSC are to:

- Identify issues that suggest a need to revise or clarify policy.
- Identify training needs.
- Identify the need for systems modifications.

- Develop a better understanding of Bridges.
- Identify error prevention strategies.

Bias of Review Results

To comply with the federal requirement to avoid bias in the review, the local office should not review the cases, make changes that would affect the eligibility or benefits for the cases, or contact the household or make a collateral contact prior to the QC review being conducted to make any changes to the case once the sample is pulled/selected. This does not apply to routine case management changes such as filing household reports, acting on reported changes, issuing notices of expiration, or conducting recertification interviews. Normal case management activities should not be initiated or undertaken at an accelerated pace in order to affect the cases under review.

Local Office Response to QC Review Error Process

Once the DHS-1599, Review Results Summary, for an error case is received, the local office has 10 workdays to submit the DHS-191, Response to Quality Control Review Error, and any supporting documentation.

DHS-191 is to be reviewed and signed by the County Director/District Manager.

Send the DHS-191 electronically to:

- Central Office: DHSAPSpecialists@michigan.gov.
- Compliance Division: MDHHS-FAP-QC@michigan.gov
- BSC 1: Contact BSC1
- BSC 2: BSC2-AP-Mailbox@michigan.gov
- BSC 3: BSC3-APSpecialist@michigan.gov
- BSC 4: BSC4APMailbox@michigan.gov

If a recoupment action is required, a copy of the DHS-4701, Overissuance Referral, must be included with the DHS-191.

Note: The following link is for internal use only. To view the current Active Case Error Rate, see; [FAP Error Rate Reports](#).

FAP Negative Case Reviews

Federal Policy - FNS 310 Handbook, Quality Control Review Handbook, Chapter 13 Negative Action Record Reviews, 1340 Application Processing Aspects of the Negative Review:

Negative actions are reviewed to determine the validity of the agency's action to deny, terminate, or suspend the FAP group. Certain failures to complete application processing requirements correctly are part of the review and may result in a negative action being determined to be inappropriate and, therefore, invalid. The application processing requirements include:

1. Failure to send an Appointment Letter when required or a Notice of Missed Interview (NOMI) when required, or sending the required letter or notices to an incorrect address; notification to the FAP group must be made accurately.
2. Failure to provide expedited service where appropriate.
3. Denial of action prior to the 30th day when verification was requested.
4. Denial of an application after the 30th day when not properly pending.
5. Failure to act on an application by the 30th day following the date of application. This results in withholding benefits to a household through inaction rather than an actual action. When the 30th day falls on a weekend or holiday, the action must be taken on the next business day following the weekend or holiday to be considered timely.

Error Prevention Negative Action Case Review

1. All correspondence to the client regarding a negative action on a FAP case needs to be accurate. Any incorrect reason on the notice results in an error finding even if the household was not eligible for the program for another reason.
2. Confirm the address on the notice is accurate. Sending a notice to a wrong address will result in an error finding

3. Documentation of any decision made is extremely important. OQA can use the documentation to support a valid finding when the reason on the notice is not exactly clear.
4. Timeliness of denials is extremely important. An application not processed within 30 days is invalid unless it has been properly pended. This means a denial must be processed, in most instances, by the 30th day. If a denial is completed after the 30th day, the denial will be invalid. In the opinion of FNS, prolonging the time to process a denial amounts to withholding benefits to a FAP group.
5. Multiple reasons for a FAP negative action must all be correct to have a valid action. If any reason on the FAP negative action notice is incorrect, the decision will be invalid.
6. OQA is required to advise the county if any follow-up action is necessary on a negative action.

Note: The following link is for internal use only. To view the current Negative Active Case Error Rate, see; [FAP Error Rate Reports](#).

FIP/TANF Work Participation Reviews

FIP

Purpose and Scope

The purpose of the FIP/TANF review is:

- To determine whether the TANF/FIP group includes a work-eligible individual (WEI), and if so, whether the WEI met the work participation requirements in the sample month. These reviews are federally mandated to establish Michigan's work participation rate. Federal sanctions are applied if the work participation rate is below the federal target.
- To provide to the federal government demographic information for the FIP/TANF cases reviewed.

Frequency of Reviews and Selection of Cases for Review

Each month a statewide random sample of households is selected from two categories: federally funded active FIP/TANF cases and federally funded closed FIP/TANF cases.

Requests for MDHHS Case Records & MWA Files

When a case is selected for review, the Compliance Division (CD) contacts the local office designee to request the case record. MDHHS offices have five business days to complete the DHS-572, OQA TANF Case Review Checklist, and provide the checklist and the MDHHS client case record to CD. The Workforce Development Agency (WDA) has eight business days to obtain the Michigan Works! Agency (MWA) file and provide it to CD.

TANF/FIP Case Review

Upon receipt of the records and files, CD completes the work participation desk review. When they have completed their review, the Central Office FIP/TANF Family Program Policy Unit completes a review of the FIP/TANF group's eligibility based on information provided in Bridges. WDA also reviews the work eligible individual's current work participation activities within the One Stop Management Information System (OSMIS).

TANF Work Participation Review Committee (WPRC)

The TANF Work Participation Review Committee (WPRC) is facilitated by the Compliance Division and is a partnership between CD, TANF/FIP Family Program Policy, Economic Stability Administration (ESA), WDA, MDHHS local office representative/PATH Coordinator, and MWAs. To assure accuracy and completeness, case review results and action items for all sampled cases are discussed during weekly TANF Work Participation Review Committee meetings/teleconference calls.

The goals of the WPRC are:

- Assure that federal work participation determinations were accurately made.
- Identify and obtain additional documentation that might not have been provided or available at the time of the review.

- Identify specific reasons that each case did not meet participation requirements.
- Identify and work in partnership to eliminate barriers to meeting work participation requirements.
- Assure that cases that were in the sample are currently being handled correctly, therefore preventing future errors.

DHS-932, Review Results

The DHS-932, CD, FIP/TANF Program Policy, and WDA Case Review Results, are emailed to MDHHS offices and MWAs, along with information regarding any follow-up action the local MDHHS office, MWA and CD is required to complete.

DHS-584, Response to Review Results

Within twelve workdays of receipt of the review results, the local MDHHS office is required to complete the DHS-584, Response to TANF Work Participation Case Review Results, documenting the completion of action items.

- DHS-584 is to be signed by the county director/district manager.
- Send the DHS-584 and any requested documents to ESA via the DHS-APSpecialists@michigan.gov.

**STATE
MANAGEMENT
EVALUATION
REVIEW (ME)****FAP Only**

The Food and Nutrition Service (FNS) periodically reviews each state's administration and operation of the Food Assistance Program to determine compliance with federal regulations program requirements.

Scope and Purpose

FNS designates which areas are to be reviewed each year. Typically, these reviews include but are not limited to the following areas:

- Application processing.
- Civil rights complaints.
- Benefit issuance.
- Benefit recoupment and collection.
- Reconciliation and reporting.
- State plans for management evaluation (ME) and Quality Control (QC).
- Client complaints.
- Payment accuracy.
- Negative errors.

Frequency of Reviews

The ME is conducted annually.

Central and Local Office Responsibilities

Most of this audit is conducted in central office using statewide data. However, one or more local offices may be reviewed. The audit begins with an entrance conference which introduces the auditing staff to the state and explains the areas that will be reviewed during the audit.

The actual review typically takes three working days, with one day spent in local offices. Prior to the review, central office selects a local office for review and requests that specific cases be pulled for review. Local offices are usually given time to prepare for the review. Federal auditors are usually assigned to a designated staff person at each local office to provide information relative to the review.

Once the review is completed at the local office, an exit conference is held in central office.

The results of the review are presented to the department in a written report. The department then has **60 days** to respond regarding corrective actions. Local offices are responsible for correcting any errors cited in individual cases.

**FOOD ASSISTANCE
MANAGEMENT
EVALUATION
(FAME)****FAP Only**

FAME reviews are mandated by FNS and are designed to determine whether local offices are complying with federal regulations and Michigan food assistance policy. FAME reviews do not establish the misissuance rate. Reviews are conducted by FAME from the Economic Stability Administration. The areas reviewed include but are not limited to:

- Certification procedures.
- Issuance services.
- Security/control.
- Reconciliation.
- Record keeping and reporting.

Note: FAME review targets can change each fiscal year according to FNS requirements.

Scope and Purpose

The objectives of FAME reviews are to provide:

- A systematic method of monitoring and assessing program operations.
- A basis for local offices to improve and strengthen program operations by identifying and correcting deficiencies
- A working relationship between the local office, central office and FNS to develop solutions to identified problems in policy and/or procedures.

Frequency of Reviews

FAME reviews are conducted annually in large local offices which have over 15,000 cases. Counties aligned under a single director are referred to as management units. Management units of 2,001 to 15,000 cases are reviewed every two years and those with 2,000 cases or less are reviewed once every three years.

FNS may require the State agency to conduct additional on-site reviews when a serious problem is detected in a project area which could result in a substantial dollar or service loss.

FAME Responsibilities

FAME contacts the local office to inform them of the date the review is to begin. They:

- Read cases which have been selected according to random procedures.
- Interview staff responsible for food assistance activities,
- Review records, reports and local procedures.

The review is documented on a worksheet and identifies:

- A description of the deficiency detected.
- The cause(s) of any deficiency detected, if known; and
- The number and identification (case name and number) of casefiles selected and examined.

They forward the review findings to the county director/district office manager and the director of the Business Service Center (BSC) that the local office is assigned to, listing all deficiencies found during the FAME review. The written report contains a general summary of findings, specific case findings and a request for a corrective action response.

Review worksheets are retained by FAME and ESA for three years and are made available to FNS upon request.

Local Office Responsibilities

Local offices must take appropriate corrective action on errors found in the case record within **15 days** of receiving the FAME review report. They must then submit a Corrective Action Plan (CAP) to the FAME within **60 days** of the FAME report.

The local office CAP must address:

- Each of the program area deficiencies in the FAME report.
- Include the corrective action they will use to correct the deficiency.

- A timetable for meeting the corrective action.

The corrective action may include recommendations for BSC or central office actions which the local office believes would aid in their efforts to correct the deficiency.

Local offices are responsible for developing and completing all necessary follow-up measures to ensure the effectiveness of their corrective actions. Monitoring to fulfill this requirement may take various forms, such as, increased supervisory case readings, special reviews or spot checks, implementing new local office procedures, etc.

LEGAL BASE

FAP

7 CFR 272.3 (a)(3)